EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>$200B) · Report Date: November 09, 2026

Latest financials: Q2 FY2026 · Model data as of 2026-11-09

HOLD

Composite · Valuation: UNDERWEIGHT

Target $517.81 · -5.0% upside

Price $545.18

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target $517.81 (-5.0% vs $545.18); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT $517.81	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEUTRAL	Score +0.00 · 12m +11%	15%
Composite	HOLD	Score +0.03 · 50% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

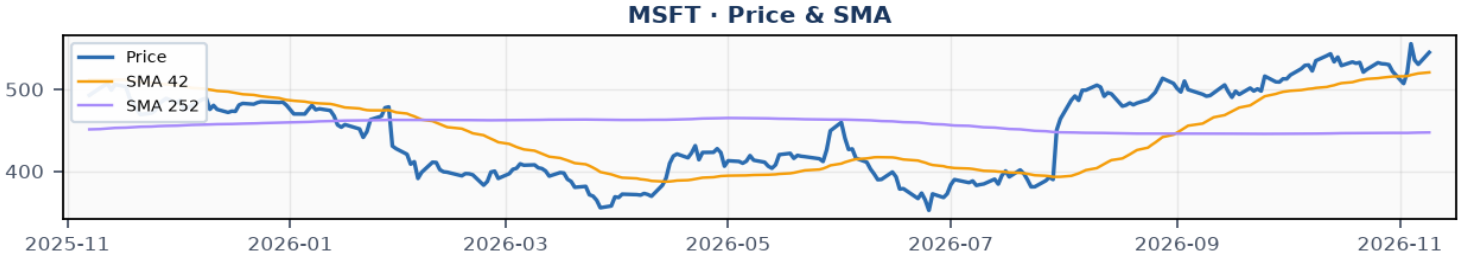
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation, a technology company, develops and supports a portfolio of technology solutions for individuals and businesses worldwide. Its... **UNDERWEIGHT** rating; blended target $517.81. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$4.05T	Shares Out.	7426.2M
52-Week Range	$349.20 – $559.15	P/E (TTM)	28.5x
P/B	8.6x	Beta	1.04
Avg Volume	23.16M	Analyst Rec.	Strong Buy
Revenue (TTM)	$346.44B	Rev Growth	+18.8%
Op. Margin	49.8%	FCF (TTM)	$66.99B
Gross Margin	67.7%	ROE	34.2%
EV/EBITDA	19.5x	Debt/Equity	28.5%
EPS (TTM)	$19.16	Div Yield	74.0%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Microsoft Corporation (MSFT) · Financials · Valuation · Peers · Q2 FY2026 · 2026-11-09

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue ($M)	281,724	331,839	394,225	449,061	496,154
Revenue Growth (%)	N/A	17.8%	18.8%	13.9%	10.5%
Net Income ($M)	101,832	133,749	158,894	180,996	199,977
Gross Margin (%)	68.8%	67.9%	67.7%	67.7%	67.7%
Net Margin (%)	36.1%	40.3%	40.3%	40.3%	40.3%
EPS ($)	13.71	18.01	21.40	24.37	26.93
P/E (x)	39.76	30.27	25.48	22.37	20.25

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$520.74	Short-term trend	12m Momentum	+10.6%	
SMA (252d)	$447.37	Long-term trend	3m Momentum	+10.9%	
RSI (14d)	54.8	Momentum oscillator	Ann. Volatility	28.4%	
Trend	Bullish		Sharpe Ratio	0.26	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-1.9%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$520.74, SMA252=$447.37	Quant Score	+0.00	NEUTRAL
			SMA Backtest (ann.)	9.5%	B&H; 26.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$215.10	-60.5%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	$488.23	-10.4%	80%	Included in blend
Analyst consensus	$636.12	+16.7%	20%	Included in blend
Blended target	$517.81	-5.0%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.75%	4.00%	9.40%	$1.60T	$215.10	-60.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	$373.47B	18.8x	14.2x	26.4%	+29.6%
CRM	Salesforce, Inc.	$176.90B	19.7x	16.0x	22.0%	+10.8%
NOW	ServiceNow, Inc.	$106.66B	73.9x	33.9x	9.4%	+20.5%
IBM	International Business	$232.60B	21.0x	17.3x	16.0%	+4.7%
MSFT*	Microsoft Corporation	$4.05T	28.5x	19.5x	41.2%	+18.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (18.8% YoY); High operating leverage (49.8% margin); Sector: Technology | Industry: Software - Infrastructure · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.